



Financial companies see positive outlook despite geopolitics

June 2, 2026

Positive feedback from DB's 16th Global Financial Services Conference

US and European banks and asset managers have a broadly positive outlook for the months ahead as accelerating consumer spending and loan growth, along with AI-driven efficiencies, outweigh geopolitical disruption and higher energy prices, according to talks at Deutsche Bank's 16th annual Global Financial Services Conference in late May.

The event at Deutsche Bank Center in New York brought together industry leaders for two days of discussions focused on the key issues shaping the sector: the impact of higher interest rates, loan demand against a backdrop of geopolitical uncertainty, strong capital markets activity, and the implications of AI for both cost efficiency and revenue opportunities as well as threats. Broader themes included regulation and deregulation, the continued rise of private markets despite recent strains, M&A, and the future of financial services.

US Banks: leaning in

The overriding theme is that the US banks continue to perform very well against a strong backdrop for their key businesses. Consumer spending is accelerating even within discretionary areas, commercial loan activity is strong with good backlogs, and institutional businesses (ie investment banking and trading) are strong or robust. Credit quality remains stable or strong with office no longer a drag. Capital levels are strong and banks are leaning into lending and capital markets-related areas given excess levels and hope for regulatory capital relief.

European Banks: holding up well, for now

The fundamental backdrop for European banks remains supportive despite the Gulf conflict and its repercussions. Loan growth is holding up so far, though uneven across markets, while higher rates support margins, especially for banks with sizeable hedges. Furthermore, the outlook for fee income and capital markets revenues remains positive, though it is partially overshadowed by structural concerns around European competitiveness in light of less favourable regulation. AI is still seen as a net positive for European banks by allowing for new cost efficiencies, with flat to lower costs being the new gold standard.

Positively, asset quality remains strong and resilient, without showing cracks from geopolitics and higher energy prices so far. Lastly, due to high profitability, strong capital ratios, and a much-improved track record, M&A is back in focus, not only with respect to domestic bolt-ons and acquisitions of product factories to diversify revenues, but increasingly also through a more open-minded approach to cross-border deals, although the latter still carry higher execution risk.

Authors

Benjamin Goy
Research Analyst

Matt O'Connor, CFA
Research Analyst

Brian Bedell, CFA
Research Analyst

Faiza Alwy
Research Analyst

Adrian Cox
Research Analyst



Alternative and Traditional Asset Managers: long-term structural growth vs more cautious near-term environment

Alternative managers expressed a uniformly bullish outlook on long-term structural growth, even as they navigate a somewhat more cautious near-term environment. The most prominent topic was the disruption in the private credit wealth channel, where managers attributed recent net outflows in their business development companies (BDCs) to market-wide sentiment rather than fund-specific performance, and remain confident that a diversified product approach and a focus on retirement solutions will drive long-term growth.

On deployment, most managers noted a slow start to the year but expect a significant re-acceleration in investment activity and M&A in the second half as deal pipelines rebuild. Fundraising remains a bright spot, with firms guiding for a strong year fueled by institutional demand and growth in insurance, as the insurance channel itself remains a key growth area for credit. Fee-related earnings margin expansion continues to be a central focus, with managers displaying confidence in their ability to improve margins through operating leverage, the scaling of new strategies, and efficiencies from technology like AI.

Traditional asset managers revealed a consistent focus on navigating secular headwinds by executing on key growth initiatives with tangible progress being noted. While active equity outflows persist for some, firms are seeing improved organic growth profiles driven by a clear strategic pivot toward higher-demand products including ETFs and private markets. Moreover, managers continue to advance their technological capabilities, leveraging AI-driven platforms and exploring innovations like tokenization to enhance distribution and improve the client experience, all while maintaining a sharp focus on expense management to achieve margin targets.

Market infrastructure: getting ready for the future and tokenization specifically

A pervasive theme across traditional exchanges and digital asset platforms was the strategic preparation for the tokenization of assets, with many viewing it as a significant future unlock for growth and a way to reduce friction across the ecosystem. Several management teams highlighted timelines and strategies for their tokenization efforts, while also expressing optimism around a wide variety of organic growth initiatives, such as launching new derivative products, leveraging cloud-based data offerings, and expanding into prediction markets to attract new client segments.

Digital asset infrastructure providers are also advancing the evolving market structure by providing tokenization services as well as crypto platform integration to traditional financial institutions. AI is being used more aggressively, not only in cost reduction from less efficient operational processes, but also increasingly across a wide array of revenue generation opportunities, including automated and AI agentic trading, which is featuring more prominently on retail trading platforms. This is driving a stronger secular growth backdrop for trading volumes for retail brokers and exchanges, which may further accelerate over time as trading hours gradually extend toward 24x7.



Information services providers: a more differentiated view of AI

Broadly, financial data providers have seen an increase in data usage as automated models, decision systems continuously ingest and analyze data, accelerated by usage of AI agents. AI tools also reduce friction and make datasets easier to discover, test, and integrate, supporting cross-selling and upselling. Companies are becoming more distribution channel-agnostic, with focus shifting from software solutions to data feeds that are embedded deeper into new workflows.

At a thematic level, AI increasingly shifts the competitive moat from pure data delivery platforms to companies that own curated, high-quality proprietary or contributory data, a key bottleneck for effective and token-efficient AI deployment. Incumbent providers are benefitting from trusted standards, brands, and data governance. Internally, AI is driving productivity gains across engineering, research, and product development, allowing organizations to increase product velocity and speed to market.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the US this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.